bestoasis

Recycling with the Best

Weekly Ship Recycling Report

27 January 2024 - 02 February 2024

Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the week

This week, there has been a slight improvement in the ship recycling industry in India. However, the demand is still lacking, leading to a state of confusion and uncertainty about how long this situation will persist. Bangladesh is currently facing a slow pace in its market, with only a limited number of buyers seeking to acquire tonnage. The lack of financing facilities and a less aggressive market have contributed to this situation. Pakistan is currently in a state of observation, proceeding cautiously. The upcoming elections are eagerly anticipated, as they will determine the future course of events. In contrast, Turkey experienced no changes in its local market and a marginal uptick in imports, accompanied by a rising demand.

The revised World Economic Outlook, published by the IMF, detailed an increase in the projected global economic growth rate for 2024 from 2.9% to 3.1%. Growth remained below the historical average of 3.8%, according to the IMF, due to elevated interest rates and sluggish productivity growth. The global economy is currently undergoing the last phase of decline toward a gentle landing, demonstrating an extraordinary degree of resilience.

UNCTAD (United Nations Conference on Trade and Development) has expressed concern about the current global trade disruptions occurring in the regions spanning from the Red Sea to the Black Sea and the Panama Canal. It cautioned that the increasing frequency of attacks on vessels in the Red Sea, together with political tensions impacting commerce in the Black Sea and the consequences of climate change on the Panama Canal, have led to a multifaceted difficulty that is impacting crucial trade routes.

Exchange Rates:

USD / INR ₹

This Week	:	82.86
Previous Week	:	83.11
Gained	:	0.25

USD / BDT ৳

This Week	:	109.14
Previous Week	:	109.74
Gained	:	0.60

USD / PKR Rs

This Week	:	279.38
Previous Week	:	279.61
Gained	:	0.23

USD / TRY ₺

This Week	:	30.45
Previous Week	:	30.32
Lost	:	0.13

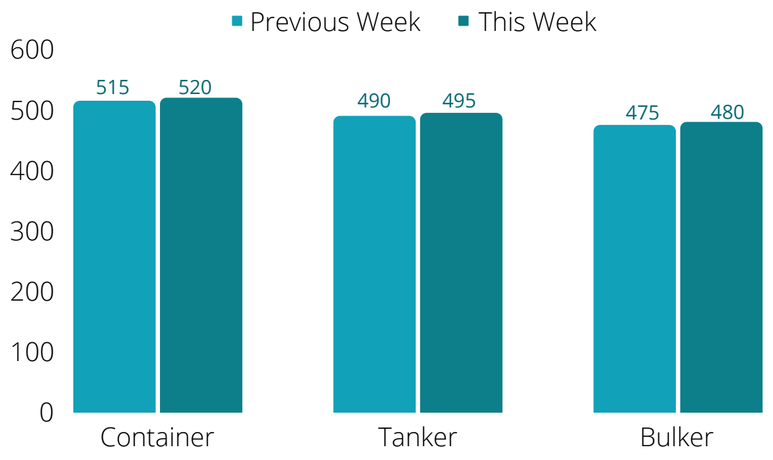
India

The market has seen a slight improvement, although the demand is still lacking.

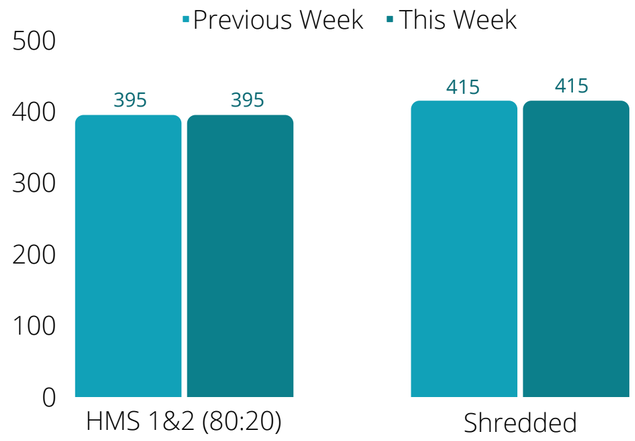
- It is evident that the current state appears confusing and the duration of this state remains uncertain.

- In the most recent Union budget released on February 1st, there were no revisions or modifications to the tax, customs, or GST. However, infrastructure capital expenditures have increased by 11.1%. This is anticipated to result in a strong domestic demand for steel, which will in turn stimulate private investments and facilitate the generation of employment opportunities. The emphasis on constructing physical, social, and digital infrastructure at an unprecedented rate is encouraging. This is an indicator of what the July budget will consist of.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

08 February to 15 February 2024
23 February to 27 February 2024
08 March to 15 March 2024

Bangladesh

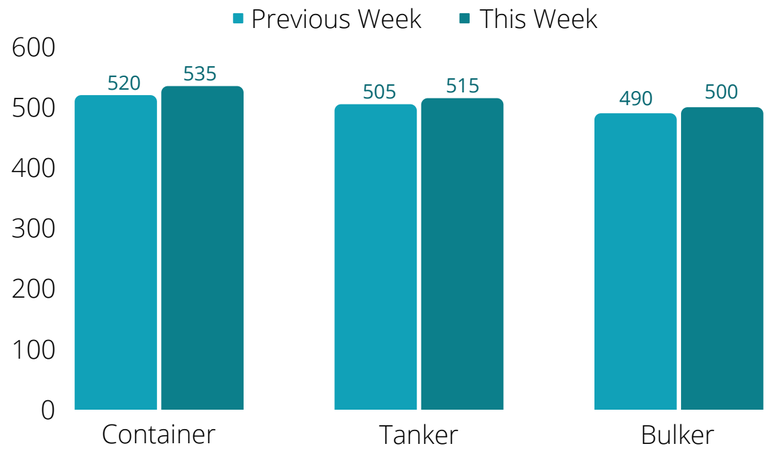
The market is currently experiencing a sluggish pace and a lack of demand.

- The local market appears to be lacking in competitiveness and remains relatively subdued.
- The lack of bank or LC facilities among all buyers, coupled with the fact that international shipowners do not offer vessels at discounted rates, has resulted in only a minority of buyers with LC facilities attempting to acquire tonnage at a premium of 10–15 USD.
- Ship recyclers are trying to pick up the dwindling market, but they are unable to do so since there are no prospects.
- After Bangladesh Bank increased the rate by 50 basis points, banks are permitted to impose a maximum interest rate of Secured Overnight Financing Rate (SOFR) plus 4 percent on short-term trade financing in foreign currency. Businesses that need short-term foreign currency loans will incur increased expenses as a consequence.

Beaching Dates

11 February to 14 February 2024
26 February to 29 February 2024
11 March to 14 March 2024

Price for Recycling Ships in Bangladesh



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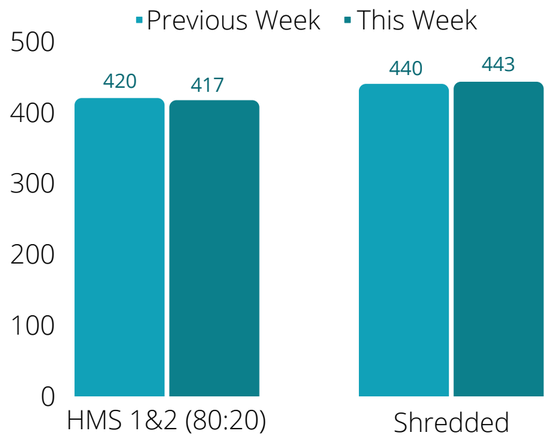


Pakistan

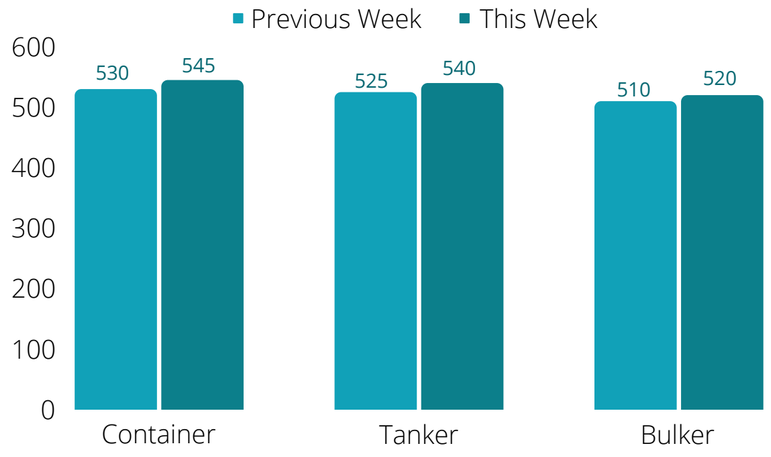
The market is currently moving at a slow pace and is being closely monitored.

- The markets are experiencing a significant slowdown.
- This coming week, there are two national holidays on February 5th and February 8th due to the election. It's uncertain how the upcoming week will unfold. People are eagerly anticipating and closely observing the results.
- The Central Bank of Pakistan maintained its key interest rate at 22% as a countermeasure to the significant inflation rate of over 40%.
- The IMF has revised Pakistan's economic growth forecast for the current fiscal year to 2 percent, which is 0.5 percentage points lower than its previous estimate of 2.5 percent in October.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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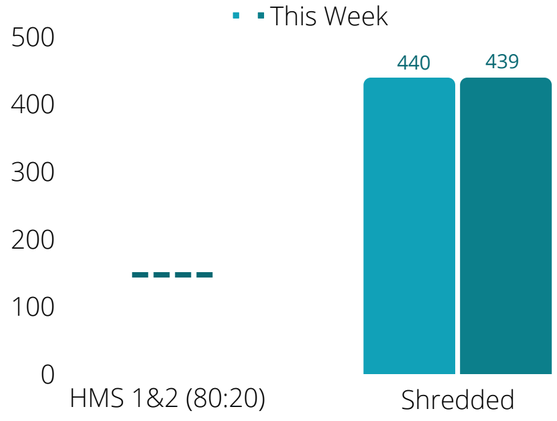
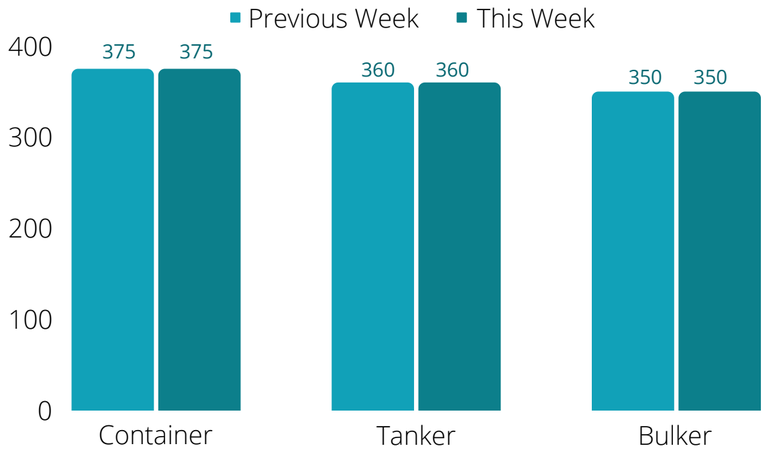


Türkiye

The local market has remained unchanged, while imports have grown and demand is growing.

- The local market has remained stable, similar to the previous week, despite a 3 USD increase in imports. However, there is an observable growth in demand.
- Turkey's December 2023 crude steel production was 3.2 million tons, up 21.2 percent over the same month in 2022. Although the overall production for 2023 was modest, it increased towards the end of the year.
- The IMF increased its 2024 economic growth prediction for the Turkish economy from 3 percent to 3.1 percent. It maintained its 3 percent estimate for Türkiye in 2025.

Price for Recycling Ships in Türkiye



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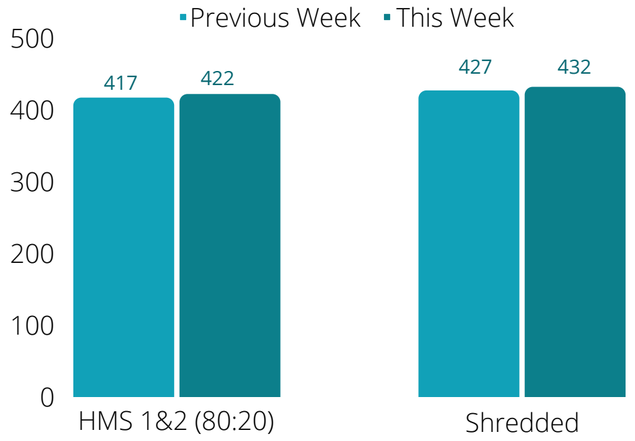
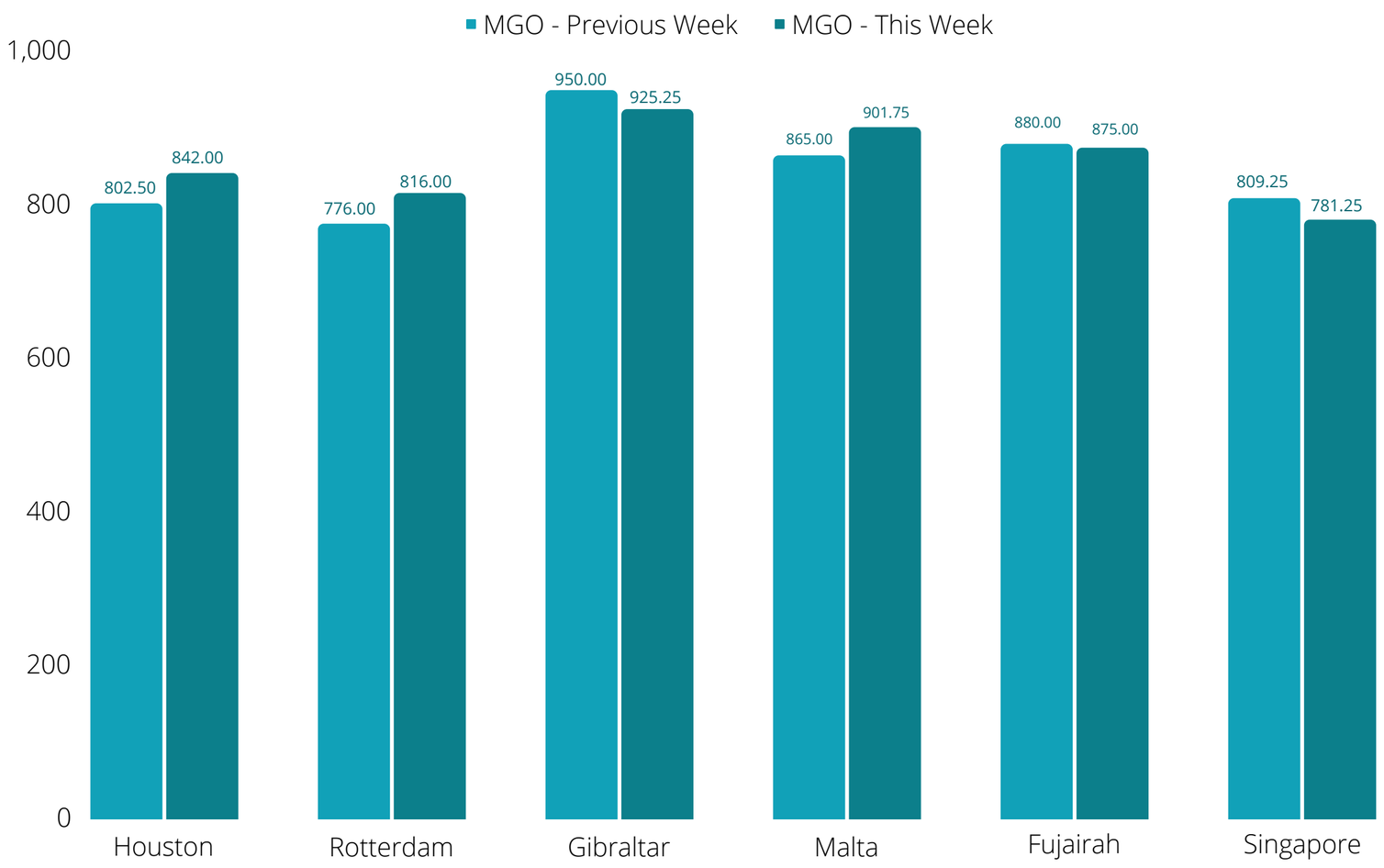


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 78.23
Previous Week	: 82.32
Movement	: - 4.09

WTI Crude

This Week	: 73.30
Previous Week	: 77.04
Movement	: - 3.74

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
ADISA	CRUDE OIL TANKER	9304667	2005	JAPAN	41,672	DELIVERED	ALANG, INDIA	UNDISCLOSED
FUKUDA	PRODUCTS TANKER	9060405	1992	SINGAPORE	750	DELIVERED	CHITTAGONG, BANGLADESH	UNDISCLOSED
SONG	BULKER	7525463	1977	YUGOSLAVIA	11,247	DELIVERED	CHITTAGONG, BANGLADESH	UNDISCLOSED
P DELTA	CONTAINER	8912730	1993	POLAND	5,226	DELIVERED	CHITTAGONG, BANGLADESH	UNDISCLOSED
WADI S	BULKER	9077903	1994	SOUTH KOREA	10,247	DELIVERED	CHITTAGONG, BANGLADESH	535

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President - Purchase

Phone: +30 210 0101 450
Mobile: +30 694 258 3977

Ms. Irini Mylona
Commercial Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

China

Capt. Steven Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

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